

Infosys

A fifty basis point guidance trim, and a forty percent de-rating

BUY Price Rs 1,030 Fair value Rs 1,220 Implied +18.5%

Infosys cut the top of its FY27 range from 3.5% to 3.0% and the stock is 40% below its high. The market is not pricing a guidance change. It is pricing the end of the business model. That is the question worth answering.

Raghav · AUG 2026 · scenario-weighted · INFY · thereservenote.com

Investment summary

Infosys trades near Rs 1,030, roughly 5% above its 52-week low and about 40% below its 52-week high of Rs 1,728. That puts it on approximately 15 times trailing earnings and 12 times my FY29 estimate, against a historical range closer to 22 to 28 times. My scenario-weighted fair value is Rs 1,220, about 18.5% above the current price, with a dividend yield near 3% and an ongoing buyback programme on top. I rate this BUY, but with more genuine uncertainty than any other name I have written up, because the bear case here is not a valuation argument — it is a claim that the industry is being disintermediated.

What the quarter actually said

Q1 FY27 revenue was \$5,082 million, up 2.4% year on year and 1.0% sequentially in constant currency. Operating margin was 21.1%, up 20 basis points sequentially. Earnings per share grew 14.9% in rupee terms. Large deal total contract value was \$3.6 billion with 61% net new — that net-new proportion matters, because it is fresh business rather than renewals. Free cash flow was \$0.96 billion in the quarter. On any historical reading, this is a solid quarter from a well-run company.

The trim that cost forty percent

Management narrowed FY27 constant-currency revenue guidance from 1.5 to 3.5 per cent down to 1.5 to 3.0 per cent. The margin band of 20 to 22% was retained. Fifty basis points off the top of a range is, arithmetically, almost nothing. The share price reaction, and the broader de-rating that has taken the stock down 40% from its high, is therefore not about the number. It is about what investors think the number implies: that enterprise technology spending is structurally slowing and that artificial intelligence will compress the value of the labour-arbitrage model Indian IT services was built on.

Taking the bear case seriously

I want to state the bear case at full strength, because dismissing it is how investors lose money in this sector. Indian IT services monetises the gap between what a client would pay a Western engineer and what it costs to employ an Indian one. If AI tooling makes a smaller team as productive as a larger one, the billable-hours model shrinks even as the work gets done. Clients are already asking for AI-driven productivity to be passed through in pricing. In that world, revenue growth of 2.4% is not a cyclical trough — it is the new normal, and 15 times earnings is not cheap, it is correct.

Why I do not think that is what is happening

AI revenue is already 8.2% of Infosys's quarterly revenue. That is not a company being disrupted; that is a company selling the disruption. The \$3.6 billion of large deals with 61% net new does not look like an eroding franchise — clients do not sign new multi-year programmes with a vendor they intend to replace with software. Margin held at 21.1% and expanded sequentially, which is the opposite of what price compression looks like in the accounts. And the enterprise reality is that someone has to actually integrate AI into thirty years of accumulated legacy systems, at scale, with accountability for failure. That work is not less valuable than what came before. It is more.

The capital return nobody is weighing

Infosys completed its largest ever buyback at Rs 18,000 crore, pays a dividend yielding roughly 3%, and generates close to a billion dollars of free cash flow every quarter against a balance sheet carrying net cash. At a depressed multiple, buybacks are accretive in a way they are not at 28 times — every rupee returned at 15 times earnings retires more earnings per share than the same rupee did two years ago. A shrinking share count against flat profit still produces rising earnings per share, and the market is currently valuing the profit while ignoring the count.

What I am underwriting

I model FY27 profit after tax of about Rs 29,000 crore, rising to Rs 34,000 crore by FY29 — roughly 8% compound earnings growth, driven more by margin discipline, currency and buybacks than by revenue acceleration. That gives FY29 earnings per share near Rs 84. At 18 times, still well below the historical range, discounted two years at 11%, I get Rs 1,227. Note what the base case does not assume: no demand recovery, no guidance upgrade, no AI windfall. It assumes only that the multiple stops contracting.

Scenarios

Bull, at 30%: enterprise spending recovers, guidance is upgraded rather than trimmed, and the market re-rates to 21 times — roughly Rs 1,432, or 39% up. Base, at 50%: Rs 1,227. Bear, at 20%: the disintermediation thesis proves right, growth stays near 2%, pricing compresses, and the sector settles at 13 times — about Rs 886, a 14% loss. Weighted, Rs 1,220. The asymmetry is favourable, but only because the bear case caps at a modest loss rather than a collapse; a genuinely disrupted Infosys would be worth considerably less than Rs 886, and I have not modelled that tail.

The case against my own view

My bull argument leans on AI revenue at 8.2% and record net-new deal wins. Both are self-reported metrics with definitions the company controls, and 'AI revenue' in particular is a category every services firm has an incentive to define generously. Growth of 2.4% is genuinely poor whatever the explanation. A leadership transition is underway with a CEO-designate announced, which adds execution risk at exactly the wrong moment. And 56.5% of revenue comes from North America, so a US enterprise spending recession hits this harder than the diversification suggests. If you believe AI structurally breaks the model, none of my arithmetic saves you.

What I would actually do

Buy, and size it as a position where I might be wrong about something fundamental rather than merely early. This is a high-quality, net-cash, cash-generative franchise trading at a fifteen-year valuation low because of a debate about the future that will take years to resolve. I would add below Rs 950, near the 52-week low, where the base case offers close to 30%. What I am underwriting is not a demand recovery — it is that the world still needs someone to make enterprise technology actually work, and that the company doing it is not worth twelve times earnings.

This is my personal analysis, published for discussion and learning. It is not investment advice, not a recommendation to buy or sell any security, and not a solicitation. Financial data is sourced from Infosys's reported Q1 FY27 results and SEC filings and publicly available market data as at August 2026; prices will have moved. FY26 profit and share count are my own estimates. Valuation outputs reflect my assumptions, stated so that you can reject them. I may hold positions in securities discussed. Do your own work.